

“Two days later the stock gapped again. It could either be a continuation gap or an exhaustion gap. I didn't know which.” Volume was heavy, about twice the 25-day moving average, so that offered no clue. “The following day, price gapped again, so I knew the prior pattern was a continuation gap.”

Gina checked the price chart and using the center of the continuation gap as a midpoint, she measured from the trend low (point A in the figure) to the center of the gap. The difference was 5.50 (that is, $60.25 - 54.75$). Adding the difference to the middle of the continuation gap predicted that price would top out at 65.75, so she placed a stop at 65.50, and moments later, the stock was sold. That day, the stock climbed to a high of 66, slightly above the predicted price, and closed the day at 63.25.

Not including commission charges, she made \$7,500 in just 4 days. But she was not done. The tall daily price range on high volume when she sold reminded her of a one-day reversal, but she was unsure. She decided to keep her options open and looked for an opportunity to sell short. She followed the stock daily, and when it closed below the support level at 61, she decided to sell the stock short and received a fill at 59. [Because she was a trading novice, I don't recommend going short.]

“The next day I was surprised and delighted to discover that a large exhaustion gap had formed, dropping the stock down to 49, for a \$10,000 gain overnight.” Knowing that the gap was in reality a dead-cat bounce, she changed tactics and did not immediately close out her position.

Instead, she watched the stock bounce upward for a few days and then continue lower (as the formation predicts). Instead of getting greedy, she decided to close out her position and received a fill at 45, for an easy \$14,000 profit in less than 2 weeks.

If you think Gina was lucky, netting over \$21,000 in 2 weeks, you are right. But her ability to correctly size up an investment opportunity and act on it quickly while taking steps to minimize losses goes a long way to explaining her luck. Some call it skill.

Gina is a serious investor who leaves nothing to chance. She did not just jump in and start trading gaps after reading about it in some book. Instead she researched the pattern, followed the stock closely, and developed a